

PURSUIT OF FISCAL CONSOLIDATION

From its peak of 9.2% in 2020-21, fiscal deficit-to-GDP ratio has been nursed back to 4.9% in 2024-25, paving the way to reach FRBM's consistent level of 3% by 2027-28. This is particularly necessary since household sector financial savings, which provides the investible surplus, has been falling, reaching a trough of 5.3% of GDP in 2022-23. It is also notable that both gross and net market borrowings in 2024-25 would be less than that in 2023-24, providing ground for reducing the interest rates later in the year. The quality of fiscal deficit has also improved as measured by the ratio of revenue deficit to fiscal deficit which has fallen from its peak of nearly 80% in 2020-21 to 36% in 2024-25 (BE).

ROLE OF STATES IN THE DEVELOPMENT PROCESS

There are several channels through which state governments' resources have been augmented. As compared to the Interim Budget, there is an increase in the tax devolution to states by ₹27,428 crore with an estimated enhanced total tax devolution to the states of ₹12.47 lakh crore in 2024-25. Second, the grants to the states have been enhanced by ₹16,840 crore. Third, on the capital account, a provision of a long-term interest-free loan amounting to ₹1.50 lakh crore has also been provided. Fourth, the Union Budget shows a focus on supporting the development of eastern India through an initiative titled 'Purvodaya'. Some additional proposed schemes to be undertaken in partnership with states include the development of industrial parks, development of cities as growth hubs, and projects focussing on water supply, sewage

treatment and solid waste management.

EMPLOYMENT INITIATIVES

The employment question has been at the forefront of discussions in recent times. There is a need to distinguish between two kinds of employment opportunities. The first category constitutes jobs that are regular, formal, contract-based, and long-term. The second category consists of temporary jobs, available for a few years which may be used for training and skill building, serving relatively more as a placeholder during the waiting period as potential workers endeavour to move into the first category. The Budget

would provide temporary jobs with opportunities for training and skill building. The first category of jobs would eventually emerge from an employment-intensive growth process. According to RBI's KLEMS database, there has been an acceleration of absorption of working age people in agriculture as well as non-farm sectors—mainly construction and trade—from 2017-18 onwards, rising from 475 million people to 597 million people in 2022-23. Now, there is a need to ensure a steady shift of workers from agricultural to non-agricultural sectors and from informal to the formal sectors.

The Budget has thus provided a solid foundation for robust

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has introduced an employment-linked incentive scheme which has three parts—first-timers joining a formal workforce, job creation in manufacturing related to first-time employees, and an employer-centric scheme covering all additional employment in all sectors within a salary of ₹1 lakh per month. Incentives are also being provided to facilitate higher participation by women. Through the internship schemes, the Budget has also co-opted the private sector in the growth and employment augmentation initiatives. Some of these initiatives

medium-term growth. With an anticipated real domestic investment rate of 35% and a net inflow of capital of about 2% of GDP, a real GDP growth of 7% plus appears feasible. Given that global growth is slated to remain sluggish in the range of 3-3.3% over the next two to three years, this would be a major achievement, establishing India's position as a global leader. **BT**

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